

14-7 shows price changes between 1948 and 1970 in six groups represented in the Standard & Poor's stock-price indexes. The average for 1941–1943 is taken as 10, the base level. The year-end 1970 figures ranged between 44.3 for the 9 New York banks and 218 for the 11 life-insurance stocks. During the subintervals there was considerable variation in the respective price movements. For example, the New York City bank stocks did quite well between 1958 and 1968; conversely the spectacular life-insurance group actually lost ground between 1963 and 1968. These cross-movements are found in many, perhaps most, of the numerous industry groups in the Standard & Poor's indexes.

TABLE 14-7 Relative Price Movements of Stocks of Various

	1948	1953	1958	1963	1968	1970
Life insurance	17.1	59.5	156.6	318.1	282.2	218.0
Property and liability insurance	13.7	23.9	41.0	64.7	99.2	84.3
New York City banks	11.2	15.0	24.3	36.8	49.6	44.3
Banks outside New York City	16.9	33.3	48.7	75.9	96.9	83.3
Finance companies	15.6	27.1	55.4	64.3	92.8	78.3
Small-loan companies	18.4	36.4	68.5	118.2	142.8	126.8
Standard & Poor's composite	13.2	24.8	55.2	75.0	103.9	92.2

* Year-end figures from Standard & Poor's stock-price indexes. Average of 1941–1943 = 10.

We have no very helpful remarks to offer in this broad area of investment—other than to counsel that the same arithmetical standards for price in relation to earnings and book value be applied to the choice of companies in these groups as we have suggested for industrial and public-utility investments.

Railroad Issues

The railroad story is a far different one from that of the utilities. The carriers have suffered severely from a combination of severe competition and strict regulation. (Their labor-cost problem has of course been difficult